

TRADING VENUE CLASSIFICATION

Displayed Market

A displayed exchange is a trading venue that discloses order book information. This consists of bid and offer prices, share quantities, and depth of book. Investors transacting in a displayed venue are able to see exactly how many shares are available at each price increment. This allows investors to compute expected transaction prices for a specified number of shares and also the expected wait time for a limit order to transact since they have knowledge where the order would sit in the queue and how many orders would need to transact ahead of them before their order will execute. Examples of displayed exchanges are the NYSE, NASDAQ, Chicago, CBOE, etc.

Dark Pool

A dark pool is a crossing network or other type of matching system that does not display or disseminate order information such as bids and offers, depth of book, number of orders, buy/sell imbalances, etc. Customers enter buy or sell orders into the dark pool. The order is executed only if there is a match. Dark pools do have drawbacks, however. These include no prior knowledge of order execution or where orders will sit in the order book queue. The dark pool's opaque/non-transparent nature makes it difficult for customers to determine if a market order or marketable limit order will execute at the specified prices. In addition it is problematic to calculate the likelihood that a limit order will be executed at a specified price increment since the customer does not know where it will sit in the queue. An advantage of the dark pool is that since order details are not disseminated there is no information leakage. Investors can enter large block orders without showing their hand to market participants. Dark pools also allow investors to cross at the midpoint of the bid-ask spread, and are maintained by brokers and third party vendors. Broker "internal dark pools" are used for matching internal and client orders away from the displayed exchanges. Third party dark pools, such as Liquidnet, Bids Trading, and Level ATS, provide investors with the opportunity to trade large block positions anonymously, thus reducing information leakage and market impact.

Grey Pool

The term grey pool denotes a displayed venue that allows investors to enter hidden orders and view displayed orders, prices, depth of book, etc., similar to the displayed exchanges. However, there may be another level of hidden orders on the order book transacting with incoming orders